

Step 5: Building a Portfolio

A portfolio is a combination of different assets you have invested in like gold, FDs, mutual funds, Real Estate, etc. You decide the combination of these assets based on your risk profile.

Now, most of us don't have enough savings on day 1 to build our ideal portfolio. Hence, we start building our portfolio with time by contributing our monthly savings towards different assets. Building a portfolio is also important for diversification.

Why is Diversification Needed?

Remember not to put all eggs in one basket. Diversification is the key, especially for long-term goals and riskier assets. This way, even if one of your investments don't do well or if there's a big economic change, your finances won't take a massive hit.

